



Subsidy Viability Report (SvR)

BIOMASS

BRIQUETTES/PELLETS BUSINESS

Highly Demandable & 100 % Tax Free Business

MNRE Subsidy Benefits Max. up to **₹ 2.10 CR.**

Ensure Total Subsidy up to **5X** of your Investment



KIP : BUSINESS SUBSIDY CONSULTANT SINCE 2008

BRIEF OF SvR

Welcome to the comprehensive guide for Fiscal Incentives available on Biomass Briquettes and Pellets Business. This Subsidy Viability Report aims to provide detailed information to the reader for the Biomass Briquettes and Pellets Business and subsidy schemes available thereon.

Whether you're setting up a new unit of Biomass Briquettes and Pellets Business or seeking financial assistance to expand your existing unit, this SvR will help you navigate through the subsidy options available. We have tried to cover up a detailed insight for Biomass Briquettes and Pellets Business, so that readers can developed their understanding on Biomass Briquettes/Pellets Business along with right subsidy planning.

We at KIP Financial Consultancy Pvt. Ltd, working as Business Subsidy Consultant Since 2008 onward and rendering Advisory and Investment consultancy for Bio Energy Projects, MSME Units, Warehouse Business and Agri Based Project.

Further, we have tried to share information related to Financial Assistance and Subsidy Benefits provided by Centre Govt. through MNRE (Ministry of New and Renewal Energy) for the business of Biomass Briquettes and Pellets.

We hope such information shall be helpful to the reader or Investor to take right investment decision. So that they can maximize their subsidy benefits and reduce their cost of business.



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BUSINESS SUBSIDY CONSULTANT

We at KIP
Are working as Business Subsidy Consultant
Since 2008.

We work with
MSME Units, Warehousing & Logistics and
Agri Infra Projects.

We help them
In taking Right Investment Decision with
appropriate Business Modeling.

So that
Our Clients can avail Maximum Subsidy
Benefits/ Other eligible Financial Incentives and
Reduce their Cost & Maximize Profit.

This Subsidy Viability Report is Going to be helpful for those who are:

1. Who are looking to start a new business.
2. Who are working in Agriculture Sector.
3. Who are big Farmers and want to manage Agri Residue with extra income.
4. Who are working in Biomass Energy Sector.
5. Which want to diversify their business with backward or forward integration.
6. Who are looking higher subsidy business.
7. Who are looking highly demandable business.
8. Who are looking 100% Tax Free Business.
9. Who want to Invest in India being an NRI.
10. Who want to acquire large scale supply contract from Public Sector Undertaking.
11. Who want to manage Forest, Agri, Horticulture, Wooden and Bamboo Residue.
12. Who are looking business in Punjab, Haryana and UP.
13. Who are working in the supply of Agri Implements.
14. Who are working in Waste Residue Management.
15. Who want to get big return on his investment.
16. Who are working as Biomass Aggregator.
17. Who are in business of Compress Bio Gas and CNG.
18. Who are in business of Saw dust and Wooden.
19. Who are located surrounding in Forest Area or in Eastern Zone of India.
20. Who are the technical vendors for Biomass Sector.
21. Who are in Cooking Industry or Hotel Industry or in Energy Sector.
22. Who are looking substitute of Coal in his Business.
23. Who are facing problem in Transportation and handling of coal.
24. Who are facing high cost of Coal.
25. Who are working research in Bio energy Sector.
26. Who are working in Business Consultancy.
27. Working Farmer Producer Company, Self Help Group, Primary Agriculture Society, Farmer Group, Local Body, Private Limited Company, Food Processing Unit, Warehousing Unit, Transportation and Logistic Units etc.
28. Who are traders for Biomass Briquettes and Pellets.

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The background of the slide features a close-up of burning biomass pellets, with bright orange and yellow flames rising from a bed of greyish-brown cylindrical pellets. The image is overlaid with semi-transparent geometric shapes: a teal triangle in the top-left corner, a light grey trapezoid in the top-right, and a teal trapezoid in the bottom-right. Thin white lines are also present, including one in the top-left and two in the bottom-left and bottom-right.

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**ABOUT
BIOMASS BUSINESS**

CHAPTER 1

Dear Businessman,

This is a business that is highly in demand and is also 100% tax-free, with many government incentives available. It's a unique business that is currently in very high demand across India. This business involves Biomass Briquettes and Pellets production, which is a thrust sector supported by both the Government of India and various state governments. It's an energy sector project that contributes significantly to India's economic growth, particularly in agriculture residue management.

Biomass Briquettes and Pellets Business;

- Is a Major Source of Green Energy.
- A Waste to Energy Project.
- It is used as a Substitute of Coal.
- Use as Bio-Fuel: Co-fired with Coal for Electricity Generation in Thermal Power Plants.

In this e-book, we'll share detailed information on how to start this business, its investment requirements, basic criteria, and how you can avail subsidies.

In this e-book, we'll share detailed information on how to start this business, its investment requirements, basic criteria, and how you can avail subsidies.

Firstly, if you are connected to an agriculture belt or are involved in agricultural industries, you may already be familiar with the concept of agricultural residues left after harvesting crops such as mustard, paddy straw, and various types of forest residues. These residues are abundantly available around us and can be effectively converted into Biomass Briquettes and Pellets, which reduce agricultural waste and serving as an eco-friendly alternative.

These compressed Biomass Briquettes and Pellets serve as excellent substitutes for coal in both industrial and domestic applications, significantly reducing pollution compared to coal and meeting high demand.

Why the Biomass Briquettes and Pellets Substitutes Coal:

When comparing coal with biomass briquettes and pellets, several factors such as calorific value, ash content, moisture, cost, handling, pollution, burning duration, and wastage/loss etc. plays vital role in comparative analysis.



Below is a detailed comparison:

Sr. No.	Factors	Coal	Briquettes/Pellets
1	Calorific Value	5000-6000 KCAL/kg.	3400-4000 KCAL/kg.
2	Ash Content	15% to 30%	6% to 10%
3	Moisture Content	10% to 15%	6% to 14%
4	Cost	Expensive	Less Expensive
5	Handling & Storage	Require Specific Facilities	Easy Handling
6	Pollution	High	Low Pollution
7	Burning Power	High Density	Comparative Low
8	Wastage/Loss	15% to 20%	8% to 10%

Conclusion:

Biomass briquettes and pellets are a viable alternative to coal, offering environmental benefits, cost savings, and easier handling. While coal still has a higher calorific value and longer burning duration, the lower ash content, lower pollution, and overall cost-effectiveness of biomass make it an attractive option for both industrial and domestic use.



2

**DEMAND
PROSPECTIVE**

CHAPTER 2

In India, there is a substantial gap between demand (Approximately 95,000 tons per day) and current production capacity (8,000 to 10,000 tons per day), creating vast business opportunities to meet this demand. Furthermore, government mandates now require thermal power plants to utilize at least 5% biomass brackets or Pellets, further boosting demand.

Aside from thermal power plants, industries such as paper-based companies and other coal-consuming industries are increasingly turning to Biomass Briquettes and Pellets due to their environmental advantages and cost-effectiveness compared to coal.

Major Industrial Users of Biomass Briquettes and Pellets:

- Textile Mills
- Brick Kiln
- Food Industry
- Leather Industry
- Dyeing House
- Chemical Plants
- Food Processing Units
- Rubber Industry
- Pharmaceuticals Industry
- Paper Mills
- Thermal Power Plant

Commercial and even domestic usage of Biomass Briquettes and Pellets is also gaining traction, particularly in sectors like hotels and facilities using heat equipment, where reducing emissions and enhancing energy efficiency are paramount.

While there is a strong demand for these products, challenges such as seasonal availability of raw materials and market fluctuations need to be managed carefully. However, with careful consideration of these factors and the favorable government incentives and subsidies available, entering this business can be highly lucrative and environmentally beneficial.

Compulsory Utilization:

Ministry of Environment, Forest and Climate Changes of Govt. of India has mandated the uses of biomass briquettes and pellets vide notification dated 11th July 2023 as:

All coal based thermal power plants of power generation utilities shall mandatorily use minimum five percent (5%) blend of pellets or briquettes made of crop residue along with coal.

It's creating the huge demand of above said business throughout India. There are approx. 208+ Thermal Power Plants are operating in India. Right now, 60+ Power Plant has already started the co-firing of pellets with coal.



NTPC, Adani Power, NPL – L&T, TSPL Vedanta Punjab, NABHA Power Plant, UP-RVUNL has invited the tender for supply of biomass pellets throughout the India.

Being an Existing Manufacturer or Future Manufacturer or Trader, you can participate in such tender subject to fulfilment of terms and conditions as prescribed thereon.

Note: Reader may visit our website for accessing the nearest power plant.

<https://kipfinancial.com/biomass-briquettes-pellets-business-opportunity/>





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3

SUBSIDY BENEFITS

CHAPTER 3

In this part of e-book, we are going to discuss the subsidies or fiscal incentives as available on the business of Biomass Briquettes and Pellets. Govt. has nominated this sector as Thrust Sector and line up the various incentives.

We can analysis this benefits in two major classifications as:

- Central Govt. Incentives
- State Level Incentives

Let's start from Central Govt. Incentives as:

1. Tax Free Business:

Are you searching for a business that required Low Investment, High Demandable, Tax Free and Eligible for Subsidies then Business of Biomass Briquettes and Pellets will fulfillment your search.

- In today's world, where sustainability and environmental conservation are paramount, the government of India has introduced several incentives to promote eco-friendly business practices. One such significant provision is Section 80JJA of the Income Tax Act, 1961.

This section offers a valuable tax deduction for businesses engaged in specific activities related to waste management and renewable energy.

What is Section 80JJA?

Section 80JJA of the Income Tax Act, 1961, provides a tax deduction of 100% on profits and gains derived from businesses that focus on environmentally beneficial activities. This deduction is specifically aimed at encouraging enterprises that deal with biodegradable waste and produce eco-friendly products.

Here's a closer look at the qualifying business activities:

(I) Collecting and Processing of Bio-degradable Waste for Power Generation:

Businesses involved in collecting and processing biodegradable waste to generate power can avail themselves of this deduction. This not only helps in waste management but also promotes the generation of renewable energy, reducing reliance on fossil fuels.

(ii) Producing Bio-fertilizers and Bio-pesticides:

The production of bio-fertilizers and bio-pesticides is another qualifying activity. These products are essential for sustainable agriculture as they minimize the use of chemical fertilizers and pesticides, promoting healthier soil and crops.





(iii) Generating Bio-gas or Compressed Bio Gas (CBG):

Bio-gas and CBG are produced from organic waste and serve as clean energy sources. Businesses engaged in generating these gases can benefit from the tax deduction, fostering the use of alternative fuels that have lower environmental impacts.

(iv) Making Pellets or Briquettes for Fuel:

The creation of pellets or briquettes from agricultural or biodegradable waste is included under this section. These products serve as an eco-friendly alternative to conventional fuels, helping reduce deforestation and carbon emissions.

(V) Producing Organic Manure:

Organic manure production from biodegradable waste contributes to sustainable farming practices. By enhancing soil fertility without harmful chemicals, it supports long-term agricultural productivity and environmental health.

Duration of the Deduction:

The tax deduction under Section 80JJA is allowed for a period of Five (5) consecutive assessment years. This period begins with the assessment year relevant to the previous year in which the business commences its qualifying activities.

For example, if a business starts its operations in the financial year 2023-24, the deduction period will begin from the assessment year 2024-25 and continue until the assessment year 2028-29.

This means you won't have to pay any income tax on the profits generated during these initial five years.

2. CFA of MNRE:

A very good scheme launched by the Government of India's Ministry of New and Renewable Energy for the business of Biomass.

The parameters of this scheme, launched under the biomass program by the MNRE, are such that you can benefit from your biomass business. How this scheme will be implemented, its basic norms, and how you can benefit from it – all these aspects related to the scheme are shared herewith as:

Firstly, as mentioned earlier, this scheme has been implemented by the Government of India's Ministry of New and Renewable Energy. The biomass program under this scheme has been named, which will be implemented until March 31, 2026, in the first phase of the program.

The total budget allocated for this program has been determined to be Rs. 128 crores. The Ministry of New and Renewable Energy, along with the Ministry of Power, has promoted the production of biomass pellets and briquettes. The overall objective of the Government of India is to promote projects related to waste-to-energy management.

If you are setting up a new business or expansion in existing unit, you can take benefit from this scheme. Whether your business model is individual, partnership, LLP, private limited company, or public limited company, you can operate it for this scheme. It is eligible.



(i) CFA Available:

Sr. No.	Factors	Coal
1	Briquette Manufacturing Plant	Rs. 9.0 lakhs/MTPH (Maximum Rs. 45.0 Lakhs per Project)
2	Non-Torrefied Pellet Manufacturing Plant	Rs 21.0 lakhs/MTPH production capacity or 30% of the capital cost considered for plant and machinery of 1 MTPH plant, whichever is lower (Maximum Rs. 105 lakhs/Projects)
3	Torrefied Pellet Manufacturing Plant	Rs 42.0 lakhs/MTPH production capacity or 30% of the capital cost considered for plant and machinery of 1 MTPH plant, whichever is lower (Maximum Rs. 210 lakhs/Projects)

The Central Financial Assistance (CFA) or subsidy components provided to biomass briquettes and pellets manufacturers have recently undergone some revisions.

On July 16, 2024, the Ministry of New and Renewable Energies (MNRE) issued a new notification. According to this notification, they have made modifications to the CFA amounts, bringing good news for the biomass and energy sectors.

Previously, the subsidy provision, known as Central Financial Assistance (CFA), was ₹9 lakh per ton of production capacity, with a maximum capacity of up to 5 tons. This meant you could receive a maximum subsidy benefit of ₹45 lakh.

Now, the Ministry has made some amendments. Under the new amendment, the subsidy for biomass briquettes will remain the same: ₹9 lakh per ton of production capacity, with a maximum capacity of up to 5 tons per hour, which means a maximum benefit of ₹45 lakh for biomass briquettes.

However, for Pellets, the Ministry has introduced two specific classifications:

Non-torrefied Pellets and Torrefied Pellets.

For non-torrefied biomass Pellets, the financial assistance provided by the government has increased from ₹9 lakh to ₹21 lakh per ton of production capacity.

The maximum production capacity is up to 5 tons. Therefore, if you receive ₹21 lakh per ton, then for 5 tons, the maximum subsidy amount would be ₹1 crore 5 lakh.

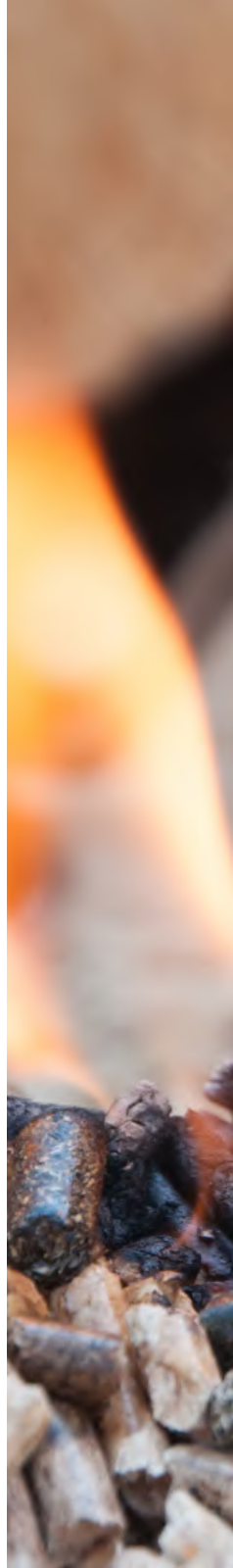
The maximum subsidy will be either ₹1 crore 5 lakh or 30% of the cost of your plant and machinery, whichever is lower. An important aspect to note is that you will receive the subsidy based on the lower of these two amounts.

Torrefied Pellets:

If you are manufacturing torrefied pellets, the subsidy amount has increased from ₹21 lakh to 42 lakh per ton of production capacity. This means that for a maximum capacity of 5 tons, the maximum subsidy benefit for torrefied biomass pellets is 2 crore 10 lakh.

The same concept applies here: you will receive the subsidy based on the lower of either 30% of the cost of your plant and machinery or the ₹42 lakh per ton production capacity.

You will receive the subsidy benefit based on these terms. The amendment has been effective from July 16, 2024. So, if you are submitting an application for CFA under the MNRE (Ministry of New and Renewable Energy) for biomass pellets, the new provisions will apply. This is great news for those involved in biomass pellet manufacturing, as you can now take advantage of these benefits.





(ii) Must be produced by Agri Residue:

Another important aspect of this scheme is that if you are manufacturing biomass pellets or briquettes, they should be Agre-residue based. The important parameters include which materials you will use. It can be any crop residue, Agre-based, forest residue left in forests, horticulture residues, bamboo residue, wooden chips, or dust from them. However, you cannot use residues from other industrial agriculture residues. If you do so, you will not be able to benefit from this scheme.

Projects using municipal solid waste, black liquor, slop, press mud and other Processed Industrial waste shall not be considered under this scheme.

(iii) IPA Application:

Next, an important aspect of this scheme is how you can apply for this scheme. It is an IPA-based scheme, which means you need principal approval as soon as you start your business before the commencement of production.

You have to apply to the Ministry of Renewable Energy, which we call IPA applications, and after the approval of the IPA application, when you start commencement, then you will get the subsidy.

Note: Only those projects, including capacity enhancement projects, which install new machinery e.g. Briquette/Pellet making machinery, boiler, turbine, are eligible under the scheme for grant of CFA.



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(iv) Time Limit for Commissioning of the plant:

After the submission of the application and verification by the department, the authority will approve the project and issue In-principal approval. After obtaining In-principal approval, the project has to be commenced within 12 months for Briquette / Pellet Manufacturing plants from the date of "In-Principle" approval.

(V) Applicable on Self-Funded and Funded Project:

If you are self-funding your project or taking a loan from a bank, you can take benefit from this scheme in both situations. Indirectly, it is not a Credit-linked Subsidy Scheme.

3. Interest Subsidy under Agri Infra Fund:

Apart from the Capital incentives provided by MNRE, the said business can enjoy the benefits of Agri Infra Fund implemented by the Ministry of Agriculture and Farmer Welfare of Govt. of India. Under such Fund, being a Post Harvest Management and Bio Waste Management Units, the said business of Biomass Briquettes and Pellets will be eligible to take the advantage of Agri Infra Fund as:

(I) Interest Subsidy:

All loans under this financing facility will have interest subvention of 3% per annum up to a limit of Rs. 2 Crore. This subvention will be available for a maximum period of 7 years. In case of loans beyond Rs.2 crore, then interest subvention will be limited up to 2 crore.

(ii) Credit Guarantee (Collateral Free Funding):

Credit guarantee coverage will be available for eligible borrowers from this financing facility under Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) scheme for a loan up to Rs. 2 Crore. The fee for this coverage will be paid by the Government.

4. PMEGP Benefit for Small Project:

If your project is relatively small and you wish to set up a project smaller than two tons, such as one ton or up to two tons, there is a very good scheme available for this purpose i.e PMEGP under which projects up to 50 lakh have been covered, providing a maximum benefit of up to 35%.

This means for a project of ₹50 lakh, you can receive a subsidy benefit of up to 17.5 lakh.

See, it's a very good option. If your project is managing within a capacity of 2 tons or ₹50 lakh, you can avail the benefits of the PMEGP scheme, where you can line up for a maximum capital subsidy of 17.5 lakh.

And if you want to keep your project size larger, i.e., if you want to line up for a capacity of more than two tons, then you should avail the benefits of the MNRE scheme.

5. CFA of Central Board of Pollution Control of India:

Additionally, there are provisions for the NCR region and areas like Haryana and Punjab where there is extensive utilization in crop burning by farmers, leading to pollution. For this, the Central Pollution Control Board has launched a separate scheme. However, the budget for the scheme is quite limited. The primary purpose of this scheme is to prevent pollution. Therefore, there are provisions in this scheme as 40% of the cost of plant and machinery can be subsidized, with a maximum subsidy benefit.



However, this scheme from CPCB is currently under revisions and is being synchronized with the MNRE.

Special Note: A Unit can enjoy only one Capital Subsidy provided by Central Govt through its Ministry or Department as notified.

B. State Level Incentives:

Alongside of Tax and Capital incentive, there are state-specific benefits such as:

1. Refunds on Stamp Duty paid on Land
2. Exemptions from Electric duty
3. Exemptions on Land Conversion Fee
4. Refunds on State GST
5. Interest Subsidy
6. Incentives for employment generation etc.
7. State Specific Capital Subsidy

Apart from the above said incentives many States are providing Capital Subsidy in addition of Central CFA. In such case, you need to ensure frame subsidy planning accordingly.



These incentives make this business model highly attractive.

Subsidy Planning For Biomass Briquettes or Pellets Business			
Sr. No.	Types of Subsidy	Rate of Subsidy	Amount of Subsidy
Central Govt. Subsidy or Incentives			
A	Capital Subsidy		
1	PMEGP Scheme		
(i)	(Suitable For Project Cost up to Rs. 50.00)	25%/35%	Max. 17.50 Lacs
2	MNRE		
(i)	Briquettes Business	Rs. 9.00 Lacs Per TPH, Max. up to 5 TPH	Max. Rs. 45.00 Lacs
(ii)	Non - Torrefied Pellets	Rs. 21.00 Lacs Per TPH (Max. up to 5 TPH) Or 30% of Plant & Machinery Cost, whichever is lower.	Max. Rs. 1.05 Cr.
B	Subsidy under Agri Infra Fund		
(i)	Interest Subsidy on Bank Term Loan of Rs. Up to 2.00 Crore.	3% Per Year for 7 Years	Approx. 30 to 35.00 Lacs.
(ii)	Refund of CGTMSE Cover Fee	100% Refund	As on Actual Paid Basis for 7 Years.
C	Tax Incentives U/s 80JJA		
	Income Tax Exemption for 5 Years	100%	For First 5 Years

These incentives make this business model highly attractive.

Subsidy Planning For Biomass Briquettes or Pellets Business			
Sr. No.	Types of Subsidy	Rate of Subsidy	Amount of Subsidy
State Govt. Subsidy or Incentives			
(State Level Subsidy or Incentives may be variate as per State Specific Policy)			
1	Capital Subsidy		
(i)	In Addition to Central Subsidy, State may also have the Provision of Capital Subsidy.	15% to 40%	Project Specific
2	Stamp Duty Refund		
(i)	Refund or Exemption for Stamp Duty Paid for Land Buying	60% to 100%	Project Specific
3	EDC Refund		
(i)	Refund or Exemption of External Development Charges such as EDC or CLU Fee etc.	60% to 100%	Project Specific
4	Electric Duty Exemption	100%	Project Specific
5	Interest Subsidy		
(i)	In Addition to AIF, State may have the Provision of Interest Subsidy	5% to 8%	Project Specific
6	State GST Refund		
(i)	Refund of Net Paid SGST	50% to 100%	Project Specific
7	Employment Generation Subsidy		
(i)	For Promoting Local Employment	Rs. 30,000 to 50,000 Per Employee Per Year	Project Specific



4

**STANDARD COST OF
PROJECT (2TPH)**

CHAPTER 4

Setting up this business is straightforward with minimal investment requirements. Typically, you can start with a plant capacity of One to Five tons per hour, depending on your investment size. Approx. Machinery costs ranging from Rs. 70 to 80 lakhs for a machine capable of producing two tons per hour.

Additional costs for building and site work would add approximately 30 to 35 lakhs. Considering seasonal fluctuations, ensure adequate working capital planning.

Accordingly, it may total up to two crore rupees for the entire project, with around 50 lakhs as your own investment. Loans from banks, both as term loans and working capital loans, can also be availed for this purpose.

Raw material availability and seasonal challenges should be carefully considered, as well as the significant market demand.



Investment Pattern for a Standard Project of 2 TPH Production Capacity Along with Subsidy Benefits

Standard Example of 2TPH - Biomass Pellets Plants in Haryana Investment and Subsidy Benefits

Sr. No.	Particulars	Approx. Amount	Subsidy Syncing	Subsidy Benefits in 1st Year	Total Subsidy in 7 Year
1	Land Required (Owned/Lease) – Half Acre to 1 Acres (May extent for Storage Purpose)	Purchased Cost of Land Rs. 53.50 Lacs	100% Refund of Stamp Duty Paid (For Example Rs. 3.50 Lacs)	Rs. 3.50 Lacs	3.50
2	Building and other Civil Work – (550 Sq. m to 650 Sq. m)	Rs. 55.00 Lacs	Capital Subsidy		
3	Plant & Machinery	Rs. 80.00 Lacs	Capital Subsidy		
4	Other: (Electrification/Weight Measurement/Furniture etc.)	Rs. 15.00 Lacs	Capital Subsidy		
(i)	Total Fixed Capital Expenditure (Except Land)	Rs. 150.00 Lacs	Capital Subsidy @30%	Rs. 45.00 Lacs	45.00
5	Working Capital Need: (For 60 Days)	Rs. 70.00 Lacs	No Any Subsidy		
6	Total Fund Requirement (Except Land)	Rs. 220.00 Lacs	Project Specific		
7	Own Fund Requirement – 25%	Rs. 55.00 Lacs			

Investment Pattern for a Standard Project of 2 TPH Production Capacity Along with Subsidy Benefits

Standard Example of 2TPH - Biomass Pellets Plants in Haryana Investment and Subsidy Benefits

Sr. No.	Particulars	Approx. Amount	Subsidy Syncing	Subsidy Benefits in 1st Year	Total Subsidy in 7 Year
8	Bank Loan – 75%				
	Term Loan @ 9%	Rs. 112.50 Lacs	Interest Subsidy under AIF@3%	Rs. 3.40 Lacs in First Year (Continued For 7 Years)	15.40
	Cash Credit Limit	Rs. 52.50 Lacs			
	Total Loan Amount	Rs. 165.00 Lacs			
9	State MSME Interest Subsidy		5% Per Year	Rs. 5.63 Lacs in First Years (Continued for 7 Years)	25.50
10	No. of Person Employed	15	Employment Generation Subsidy @ Rs. 48000/- Per Staff)	Rs. 7.20 Lacs in First Year (Continued For 7 Years)	50.40
11	Average Market Price	Rs. 8000/- Per Ton			
12	Average Yearly Production (10 Hours Per Day for 300 Working Day)	6000 Ton			

Investment Pattern for a Standard Project of 2 TPH Production Capacity Along with Subsidy Benefits

Standard Example of 2TPH - Biomass Pellets Plants in Haryana Investment and Subsidy Benefits					
Sr. No.	Particulars	Approx. Amount	Subsidy Syncing	Subsidy Benefits in 1st Year	Total Subsidy in 7 Year
13	Average Annual Turnover	Rs. 480.00 Lacs	50% Refund of SGST	Rs. 6.00 Lacs in First Year (Continued For Next 7 Years as per Turnover Basis)	77.50
14	Average Cost of Production	Rs. 5000/- Per Ton			
15	Gross Margin (37.50%)	Rs. 3000/- Per Ton			
16	Net Margin (12.50%)	Rs. 1000/- Per Ton	0.125		
17	Amount of Net Profit	Rs. 60.00 Lacs	100% Tax Deduction (Average Tax @ 25%)	Rs. 15.00 Lacs in First Years (Continued For 5 Years)	91.58
18	Total Subsidies & Incentives			88.73	308.88
19	Total Owned Investment (Except Land)	Rs. 55.00 Lacs	Subsidy Vs Investment (in times)	1.61	5.62
20	Total Owned Investment (Including Land)	Rs. 108.50 Lacs		0.82	2.85

Note:

1. Cost and Margin may be deviated as per the Project cost component and availability of Raw material and Market Pricing thereon.
2. An assumption of 20% increment in Annual Sales Turnover has been considered for calculating Net SGST refund amount for next 7 Years.
3. Interest Repayment period has taken 7 Years and accordingly interest subsidy benefits has been calculated.
4. An Annual Increment @10% in Net Profit has taken for calculation the tax incentives amount for First 5 Year of operation of business.

Readers are advised to ensure Financial Feasibility of Project before proceed the investment decision in this Business.

Major Challenges: Since raw material used in this business are Agre-based and primary produced in seasonal basis. So, Investor need to ensure the aggregation of raw material in order to meet out the Plant Production Capacity.

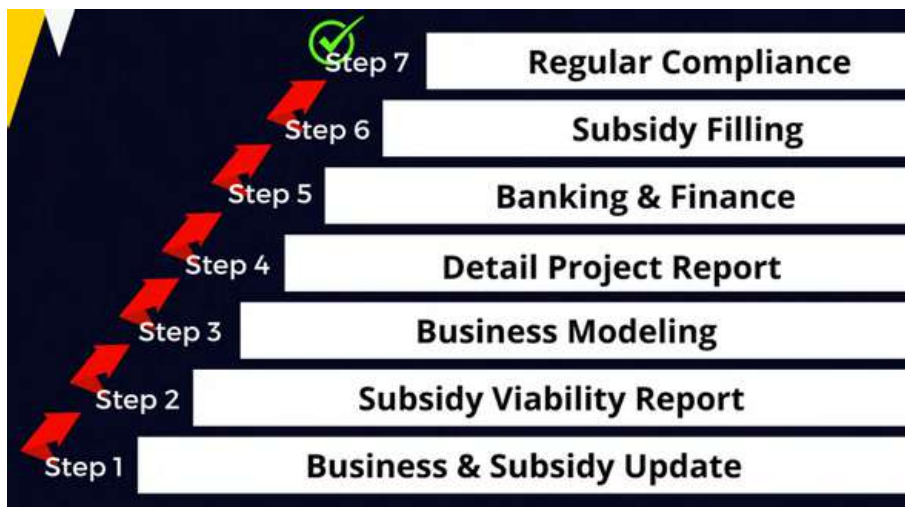




5

**KIP ASSISTANCE ON
BIOMASS BUSINESS**

If you are going to plan Biomass Briquettes and Pellets project then we at KIP will assist to you. We adopt the step by step working approach so that project can be implemented in less time with maximize subsidy.



1. Business and Subsidy Update:

We are giving regular update on Business subsidy to our registered clients. You may know more about KIP: Business and Subsidy update.

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2. Subsidy Viability Report (SVR):

Through SVR, we at KIP listing all eligible subsidy and incentives on the Project. It is highly customized as per the Project nature and location. It will assist to a businessman in making best investment planning and most suitable business modelling.

3. Business Modelling:

In order to maximize the incentives, we help the businessman in adopting most suitable business Model. Here we will also assist in taking required business registration such as MSME/HUM/IEC/GST/Startup etc.

4. Detailed Project Report:

After the SVR and Business Registration, we at KIP, frame the Complete and Detailed Project Report (DPR) considering the parameters of Bank Financing and Subsidy benefits in the project.

5. Bank Financing:

Since most of subsidy and incentives are credit linked, we assist the applicant in loan documentation and processing of loan at lower rate of interest with syncing of Subsidy Benefit.

6. Subsidy Filling and Processing:

We at KIP also provide our services on filling of Subsidy Application and processing thereof. We give support the applicant in AIF/MNRE/CPCB/PMEGP Application and taking project approval.

7. Regular Compliance:

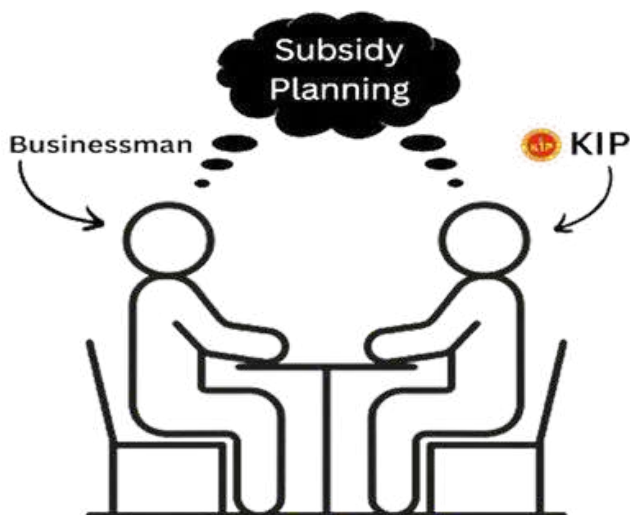
We also ensure regular compliance of the project so that regular incentives such as Interest Subsidy, State GST Refund, Electric Duty exemption, Employment Subsidy etc. can be obtained timely.

Biomass Briquettes and Pellets Specific Add on:

Tender Filling Services:

By joining KIP Business Community, we will update to you for upcoming tender for this business. Apart from Tender Update, we will also assist in Tender Filling and documentation work thereof.

Consultancy Round



Consultancy Round

Book Consultancy Round: <https://forms.gle/qTEQQTfgyUqQutt88>

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KIP Success Dashboard

Some Major Clients:

- 1. Taranjot Energy Solution Private Limited**
- 2. Quality Foils (India) Limited**
- 3. ECO URJA VENTURES**
- 4. Shree Shyam Bio Fuel**
- 5. Hari Govardhan Renewal Energy Pvt. Ltd**
- 6. Bhuvi Renewables private limited**
- 7. Vardhman Agro Products**
- 8. Mayra Biofuel**

A hand with a finger pointing upwards towards a blue rectangular button with rounded corners. The button has the word "CLIENT" written in white, bold, sans-serif capital letters. The background is a dark blue gradient.

You may connect with us and share your business planning.

By making call at: +91-8683898080

EMAIL us: sales@kipfinancial.com

Visit our WEBSITE: www.kipfinancial.com

By Making Visit in our Office:

KIP Financial Consultancy Pvt. Ltd

DSB – 38, KIP Complex, Red Square Market,

Hisar – 125001 (HR).

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Disclaimer:

This e-book contains the information related to Biomass Business specifically to avail Financial Assistance from Centre Govt. as applicable presently. Such information's are helpful to Investor for taking Business Investment decision. We at KIP, are not responsible for any financial and non-financial loss for such investment. Further, KIP shall not entertain any claim with respect to availing Govt. subsidy or any other Govt. departmental approval. Further State/Centre Govt. may amend any provision of said schemes. Eligibility of subsidy shall be subject to provision of scheme and as per location prescribed in said policy. So, readers are requested to go in details for scheme before taking any decision and advised to take services of business subsidy consultant.

KIP FINANCIAL CONSULTANCY PRIVATE LIMITED

Thank You

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